

Every recommendation, stripped to the single reason it earns its place. No fluff — the logic an owner can repeat to a skeptical partner.

1

Raise the labor rate — \$139 → \$169/hr

~100% margin · +\$432K/yr

\$139 trails the going rate in this market. Comparable independent shops across the affluent Main Line and Chester County corridor sit higher, and a brand-new shop in the area opened at \$170. A rate increase is the **only lever that carries almost no added cost**: no extra parts, no extra labor, no extra bay time. It's the highest-margin dollar on the board, and staying at \$139 leaves money on the table on every single ticket.

BOTTOM LINE

New shops in your market price at \$170. \$139 is below where your own neighborhood already is.

2

Roll fluids into a Shop Supplies Fee — 7% of labor, capped \$40

Zero CapEx · +\$140K/yr · live this week

Charging \$3 for washer fluid or a half-quart of oil saves pennies and costs relationships. A customer who feels nickel-and-dimed over consumables walks before the \$1,500 brake-and-suspension job. A **capped percentage fee recovers the real consumables cost invisibly** across the whole ticket, while giving away the minor top-off buys goodwill that pays back many times over. It trades a resentment-generating line item for a structural fee nobody blinks at.

BOTTOM LINE

Stop winning the \$3 fight and losing the \$1,500 customer.

3

Adopt Tekmetric — replace pen-and-paper across all 3 shops

\$1,500/mo · pays for itself by the 9th · \$3.61 back per \$1

The monthly subscription isn't a cost — it's the cheapest revenue you'll ever buy back. Paper guarantees techs forget to log the last 0.2 hours of diag and cleanup; that leakage alone covers the entire system in the **first week and a half of every month**. It also kills the phone-vs-online double-bookings that leave bays idle, and it timestamps every digital authorization — turning your single biggest compliance liability into a bulletproof audit trail.

BOTTOM LINE

Pen-and-paper isn't free. It's the most expensive system in the building.

4

Reprice diagnostics to 1.0 hr of the new rate — and add a Video Evidence protocol

\$100 → \$160+ · higher close rate on the repair that follows

Diag takes your most expensive tools and your most skilled brainpower — charging less than your own labor rate for it devalues the expertise that traces a CAN-bus fault or EVAP leak. Pegging diag to a full hour of the new rate prices the skill correctly. The **video is what makes the higher fee unquestionable**: when the customer watches the failure on screen, authorization on the recommended repair climbs. The diag fee pays for the brainpower; the video pays for the upsell.

BOTTOM LINE

Charge for the expertise, then prove it on camera so nobody argues the bill.

5

Upgrade the digital front door — portal, online scheduling, digital authorization

Buy the platform first · custom build only if proven

A 2011 WordPress brochure can't justify a \$169 rate, can't take a digital authorization, and can't deliver the video or DVI that lifts average repair order. The portal is the **enabler underneath every other move** — it's what makes premium pricing credible and what makes PA pre-authorization a signed, timestamped record instead of a legal exposure. Buy the proven platform first; only custom-build once the ARO lift is real. First-time-right beats experimental.

BOTTOM LINE

The modern front door is what lets you charge — and defend — premium prices.

Prepared by CFO Agent · Heilman Auto Group | Pairs with the Margin Recovery Brief and the three live calculators. Figures are conservative and assumption-driven — re-run against real R0, payroll, and parts-invoice data before final commitment.